KALINGA INSTITUTE OF INDUSTRIAL TECHNOLOGY

School of Computer Engineering

SAP CAPSTONE PROJECT REPORT

Record-to-Report (R2R)

Month-End & Year-End Financial Close

Fictional Company: KashiTech Industries Pvt. Ltd.

Industry: Manufacturing — Electronic Components
Module: SAP FI (Financial Accounting) with CO Integration
SAP S/4HANA — On-Premise

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1. Executive Summary

This report documents the end-to-end SAP implementation of the Record-to-Report (R2R) process for KashiTech Industries Pvt. Ltd., a fictional mid-sized manufacturing company based in Pune, Maharashtra, India. The implementation leverages SAP S/4HANA Finance to streamline, automate, and bring real-time visibility to the entire financial close cycle.

1.1 Overview of the Project

KashiTech Industries Pvt. Ltd. operates across multiple plants and business units producing electronic components for automotive and consumer electronics sectors. With rapid business expansion and increasing regulatory compliance requirements, the company faced significant challenges in managing its financial close cycle using legacy systems. This SAP implementation project aims to streamline and automate the entire Record-to-Report (R2R) process using SAP S/4HANA Finance.

1.2 Objective of SAP Implementation

- Reduce the monthly financial close cycle from 15 days to 5 days
- Automate manual journal entries, accruals, and recurring entries
- Achieve real-time financial reporting with drill-down capability
- Ensure compliance with Indian GAAP, Ind AS, and IFRS requirements
- Enable seamless integration between FI, CO, MM, and SD modules
- Provide a single source of truth for all financial data across entities

1.3 Selected Module — SAP FI (Financial Accounting)

SAP Financial Accounting (FI) is the core module selected for this implementation. It handles all statutory and external reporting requirements. For R2R, the key sub-modules used are:

- FI-GL — General Ledger Accounting (New G/L with document splitting)
- FI-AP — Accounts Payable for vendor reconciliation
- FI-AR — Accounts Receivable for customer reconciliation
- FI-AA — Asset Accounting for depreciation runs
- CO — Controlling (Cost Center and Profit Center Accounting) for internal reporting
- FI-SL — Special Purpose Ledger for parallel valuation

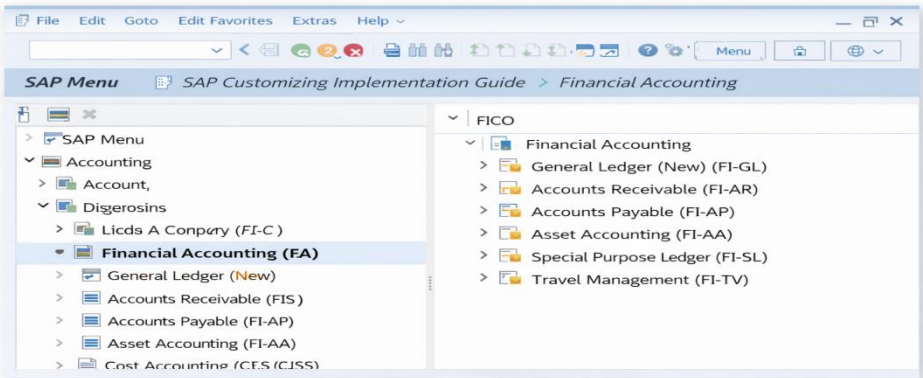

Figure 1: SAP FI Module Structure — Sub-modules relevant to R2R process

2. Company Profile

2.1 Company Overview

Company Name	KashiTech Industries Pvt. Ltd.
Industry	Manufacturing — Electronic Components
Sub-Sector	Automotive Electronics & Consumer Electronics
Headquarters	Pune, Maharashtra, India
Founded	2005
Revenue (FY24)	INR 2,400 Crore
Employees	6,800+
Plants	3 (Pune, Bengaluru, Chennai)
SAP System	SAP S/4HANA 2023 — On-Premise
Go-Live Date	April 1, 2025 (FY2025)

2.2 Organizational Structure

KashiTech follows a divisional organizational structure with three business units: Automotive, Consumer, and Industrial. Each business unit operates its own P&L center but shares common procurement and finance back-office functions.

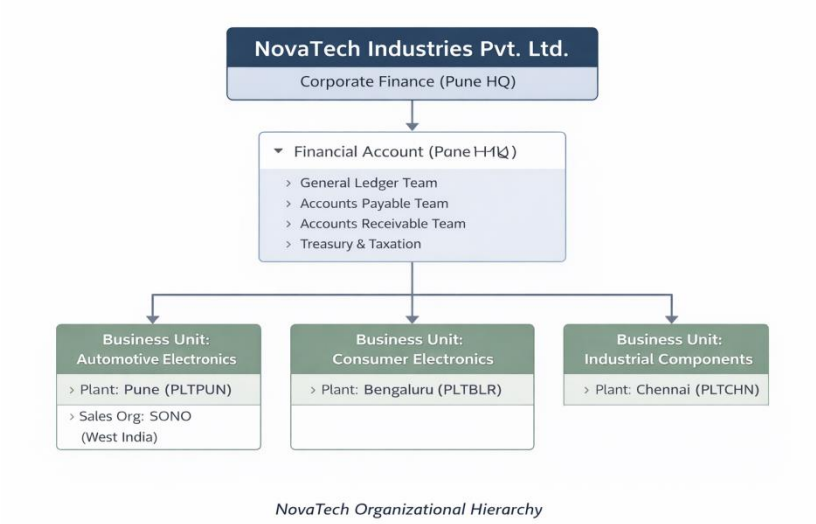

Figure 2: KashiTech Industries — Organizational Hierarchy Diagram

3. Business Requirements

3.1 Problem Statements

Before SAP implementation, KashiTech faced the following critical business problems:

Problem 1: Long and Error-Prone Financial Close Cycle

KashiTech's month-end close was taking 12–15 business days. Finance teams manually consolidated data from multiple Excel workbooks, leading to frequent errors in intercompany eliminations, misposted entries, and delayed management reporting.

Problem 2: No Real-Time Visibility into Financials

Business leaders could not access real-time P&L or Balance Sheet data. Reports were generated weekly using manual extracts from legacy ERP, causing decision-making delays.

Problem 3: Reconciliation Issues between Subledgers and General Ledger

AP and AR subledgers were frequently out of sync with the GL. Manual GR/IR clearing was done quarterly, causing significant balance sheet misstatements.

Problem 4: Lack of Audit Trail and Compliance Risk

Journal entries were posted without proper approvals or documentation. This posed significant risk during statutory audits and SEBI compliance reviews.

3.2 Why SAP is Needed

- SAP S/4HANA provides a Universal Journal (ACDOCA table) — a single source of truth for all financial postings
- Automated period-end processes eliminate manual errors and reduce close time
- Real-time reporting through SAP Fiori apps and SAP Analytics Cloud
- Built-in workflow for journal entry approvals ensures audit compliance
- Automated GR/IR clearing, foreign currency revaluation, and intercompany reconciliation
- Integrated Asset Accounting module (FI-AA) with automatic depreciation posting

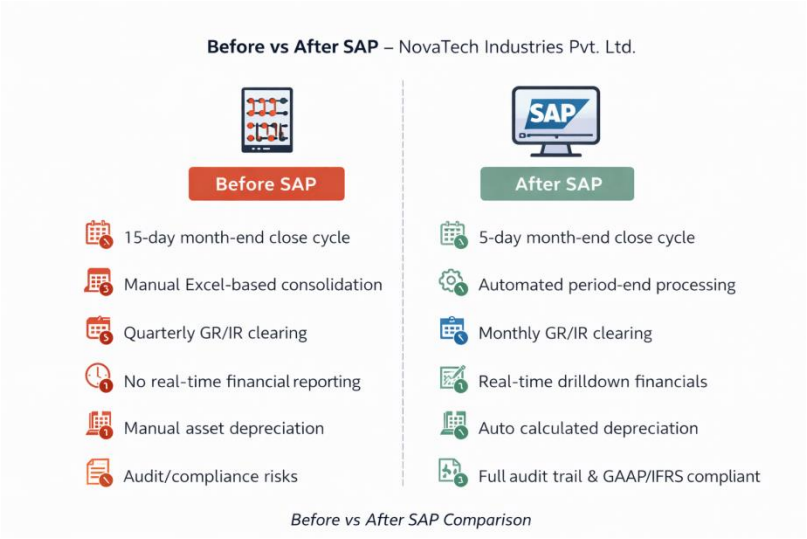

Figure 3: Before vs After SAP — Financial Close Cycle Comparison

4. SAP Module Overview — SAP FI for R2R

4.1 What is Record-to-Report (R2R)?

Record-to-Report (R2R) is the end-to-end financial accounting process that encompasses all activities from the recording of financial transactions to the delivery of financial reports. In SAP, this is primarily managed by the Financial Accounting (FI) module with deep integration into the Controlling (CO) module.

Figure 4: R2R Process Cycle — From Transaction Recording to Financial Reporting

4.2 Key Components of SAP FI Relevant to R2R

Sub-Module	Full Name	R2R Role
FI-GL	General Ledger	Core accounting engine — all journals post here via Universal Journal
FI-AP	Accounts Payable	Vendor invoice and payment tracking; cleared during R2R
FI-AR	Accounts Receivable	Customer invoice and collection; cleared during R2R
FI-AA	Asset Accounting	Depreciation runs, asset retirement posting during close
FI-SL	Special Purpose Ledger	Parallel accounting (IFRS vs Ind AS)
CO-CCA	Cost Center Accounting	Actual cost allocation and redistribution
CO-PCA	Profit Center Accounting	Segment-wise P&L reporting
CO-PA	Profitability Analysis	Management reporting and KPI dashboards

4.3 Key Features of SAP S/4HANA for R2R

- Universal Journal (ACDOCA): Single table stores all FI and CO postings — eliminates reconciliation between FI and CO
- Real-time period close: Parallel accounting with multiple ledgers (0L — Leading, 1L — IFRS)
- SAP Fiori Apps: Role-based dashboards for GL accountants and finance managers
- Automated Bank Reconciliation through Electronic Bank Statement (EBS)
- Document splitting by profit center for segment-wise Balance Sheet
- Automated intercompany elimination at consolidation level

5. Organizational Structure in SAP

5.1 SAP Organizational Hierarchy for KashiTech

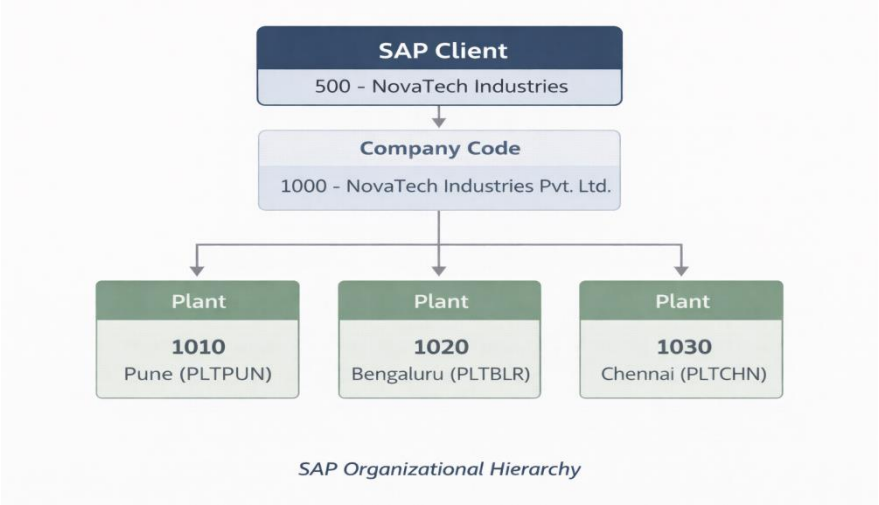

Figure 5: SAP Organizational Hierarchy — KashiTech Industries (Client → Company Code → Plants)

5.2 Key Organizational Elements Explained

Org Element	Value	Significance in R2R
Client	100	Highest level — all company data resides here
Company Code	NTIL	Legal entity; Financial Statements generated at this level
Controlling Area	NTCA	CO reporting boundary; must match company code currency (INR)
Chart of Accounts	NTCA	Contains all G/L account definitions for KashiTech
Fiscal Year Variant	V3	April to March (12 periods + 4 special periods for audit adjustments)
Posting Period Variant	NTPP	Controls which periods are open for FI and CO postings
Ledger	0L, 1L	0L = Indian GAAP (Leading), 1L = IFRS (Non-Leading)
Currency	INR	Company code currency; USD for group currency

5.3 Fiscal Year and Special Periods

KashiTech follows the Indian financial year from April 1 to March 31. In SAP, this is configured as Fiscal Year Variant V3. The period structure is as follows:

- Periods 1 to 12: April to March (Regular posting periods)
- Special Period 13: For year-end audit adjustments by external auditors
- Special Period 14: For tax adjustments
- Special Period 15: For closing entries by management
- Special Period 16: Reserved for carry-forward postings

6. Master Data Configuration

6.1 General Ledger Account Master Data

The G/L Account master data is the backbone of SAP FI. For KashiTech, the Chart of Accounts (NTCA) contains the following key account groups:

Acct Group	Description	Number Range	Examples
ASSET	Balance Sheet — Assets	10000000–19999999	Cash, Bank, Receivables, Fixed Assets
LIAB	Balance Sheet — Liabilities	20000000–29999999	Payables, Loans, Provisions
EQUITY	Equity / Net Worth	30000000–39999999	Share Capital, Retained Earnings
REVN	Revenue Accounts	40000000–49999999	Sales Revenue, Other Income
COGS	Cost of Goods Sold	50000000–59999999	Raw Material Cost, Direct Labour
OPEX	Operating Expenses	60000000–69999999	Admin, Selling & Distribution
TAXS	Tax Accounts	70000000–79999999	GST Input, GST Output, TDS
GR/IR	Clearing Accounts	19100000–19199999	GR/IR, Bank Clearing, IC Clearing

6.2 G/L Account Master — Important Fields (T-Code: FS00)

- Account Number: Unique identifier (e.g., 11000000 for 'Cash at Bank — HDFC')
- Account Group: Determines field status and number range
- Balance Sheet / P&L Indicator: Determines report classification
- Open Item Management: Enabled for clearing accounts (GR/IR, IC Clearing)
- Line Item Display: Enabled for all accounts for audit trail
- Field Status Group: Controls mandatory/optional fields during posting
- Tax Category: For tax-relevant accounts (e.g., GST accounts)
- Sort Key: Determines how line items are sorted (e.g., by posting date)

6.3 Vendor Master (T-Code: FK01 / XK01)

Vendor Master in SAP is maintained at three levels: General Data, Company Code Data, and Purchasing Data. For R2R, the key financial fields are:

- Reconciliation Account: Links AP subledger to GL (e.g., Account 21000000 — Trade Payables)
- Payment Terms: Configured for automatic due date calculation (e.g., NET30)
- Payment Method: NEFT, RTGS, Cheque
- Withholding Tax (TDS): Section 194C, 194J codes configured for Indian compliance
- House Bank Assignment: For automatic payment program (F110)

6.4 Customer Master (T-Code: FD01 / XD01)

- Reconciliation Account: Links AR subledger to GL (e.g., Account 13000000 — Trade Receivables)
- Credit Limit: Defined for credit management integration with SD

- Dunning Procedure: Automated dunning for overdue receivables
- Payment Terms: Determines receivable ageing and discount eligibility
- Tax Classification: For GST output tax determination

6.5 Fixed Asset Master (T-Code: AS01)

Asset master data is critical for R2R as depreciation is a key month-end closing activity:

- Asset Class: Determines G/L account assignment (e.g., Plant & Machinery, Furniture)
- Depreciation Area: Area 01 (Indian GAAP — WDV/SLM), Area 15 (IFRS — SLM)
- Useful Life: Defined per Companies Act 2013 Schedule II
- Depreciation Key: LINR (Straight Line), DWMF (Written Down Value)
- Capitalization Date: Date from which depreciation begins
- Cost Center Assignment: Links asset to controlling objects

7. End-to-End R2R Process Flow

The R2R process at KashiTech spans 12 structured steps, divided into three phases: Pre-Close Activities, Period-End Closing Entries, and Financial Reporting & Close. The target is to complete month-end close within 5 business days.

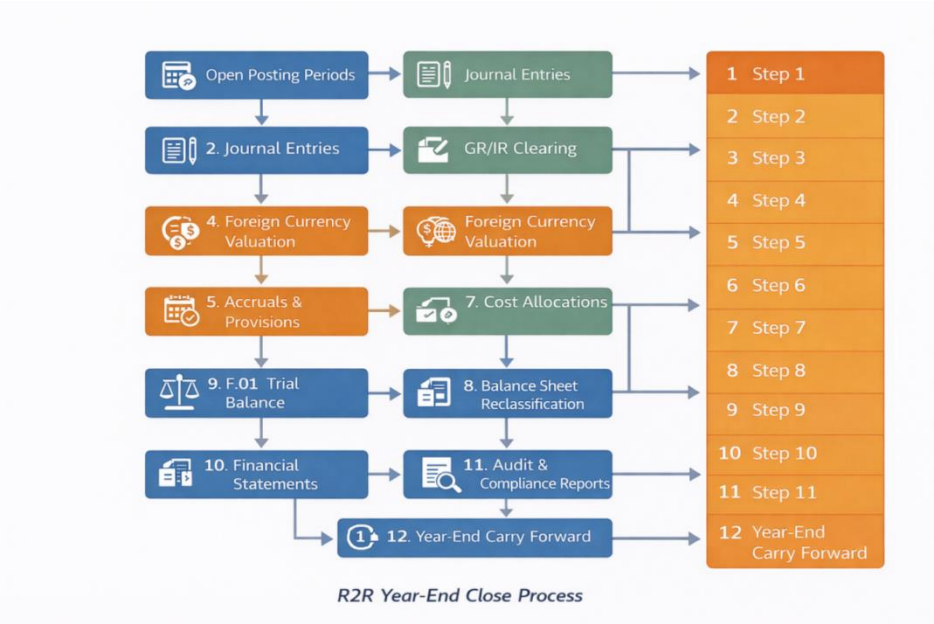

Figure 6: KashiTech R2R — 12-Step Month-End Close Flowchart

7.1 R2R Process Overview Table

#	Step	T-Code	Input	Output
1	Pre-Close Checklist	OB52, MMPV	All documents posted, periods open/closed	Checklist confirmed
2	Intercompany Reconciliation	FB01, F-01	IC invoices reconciled	Reconciled IC balances
3	GR/IR Clearing	MR11, F.19	Open purchase orders/GRs	Cleared GR/IR account
4	Foreign Currency Valuation	FAGLGVTR	Exchange rates in system	Revaluation postings
5	Accruals & Provisions	FBD1, F.14, F107	Contract data, expense schedules	Accrual journal entries
6	Fixed Asset Depreciation	AFAB	Asset master data, periods open	Depreciation postings
7	Cost Allocation (CO)	KSV5, KB21N	Cost center plan/actual data	Allocated costs in CO
8	Recurring Entries	F.14	Recurring entry templates	Recurring journals posted
9	Balance Sheet Reclass	F.19, FS10N	G/L line items	Reclassified entries
10	Financial Statements	S_ALR_87012301	Closed period data	BS/P&L reports

#	Step	T-Code	Input	Output
11	Management Reporting	F.01, KE5T	All postings complete	Management pack
12	Period/Year-End Close	F.16, FAGLGVTR	All steps above complete	Balances carried forward

7.2 Detailed Step-by-Step Process Description

Step 1: Pre-Close Preparation & Checklist

T-Codes: OB52, MMPV, MMRV — Purpose: Ensure all prerequisites are met before closing entries begin.

- Verify all business transactions are posted for the period
- Ensure no pending GR/IR documents
- Confirm all bank statements are reconciled
- Open/close posting periods using OB52

Inputs: Business confirmation from all plants, bank reconciliation statement.

Outputs: Pre-close checklist signed off by Finance Controller.

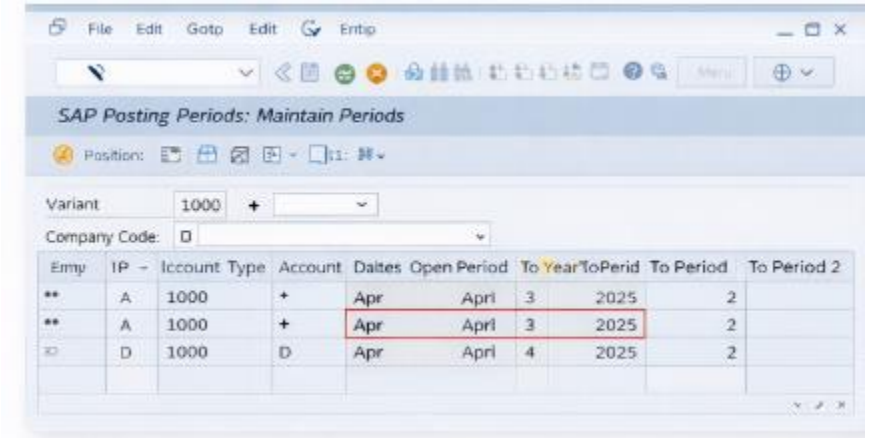

Figure 7: OB52 — Open and Close Posting Periods Screen

Step 2: Intercompany (IC) Reconciliation

T-Codes: FB01, F-01, FBL3N, FAGLL03 — Purpose: Match and eliminate intercompany receivables and payables between KashiTech's three plants/entities.

- Run IC balance report; identify mismatches
- Post IC adjustment entries using T-code F-01
- Use clearing account 19900000 for IC settlements

Key SAP Config: Trading partner field must be populated in all IC postings.

Step 3: GR/IR Account Clearing

T-Codes: MR11, F.19, FBL3N — Purpose: Clear the Goods Receipt / Invoice Receipt clearing account. Any amounts remaining in GR/IR at period-end represent either uninvoiced receipts or unmatched invoices.

- Run MR11 to identify open GR/IR items
- Post clearing or maintain provisions for uninvoiced GRs
- Run F.19 for balance sheet regrouping

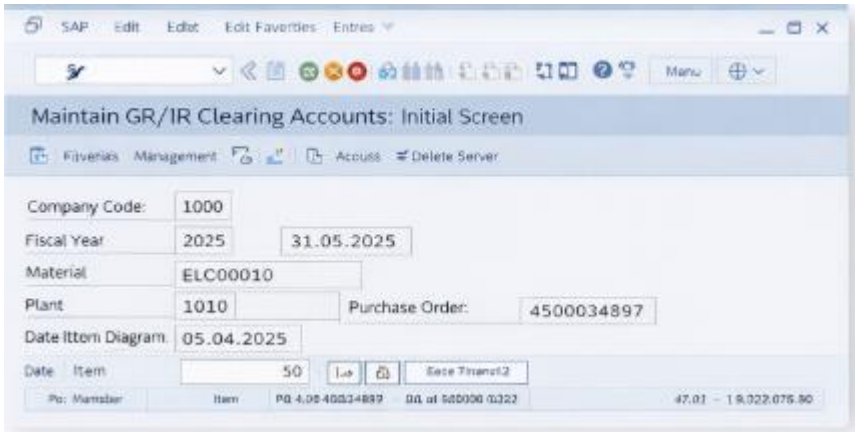

Figure 8: MR11 — GR/IR Account Maintenance Screen

Step 4: Foreign Currency Valuation

T-Code: FAGL_FC_VAL — Purpose: Revalue open foreign currency items (payables, receivables, bank accounts) using the exchange rate on the balance sheet date. This is mandatory per Ind AS 21 and IFRS.

- Maintain exchange rates in OB08
- Run FAGL_FC_VAL for all relevant G/L accounts and subledgers
- System posts unrealized gain/loss to accounts 47100000 (FX Gain) and 67100000 (FX Loss)

Important: Valuation postings are automatically reversed on first day of next period.

Step 5: Accruals and Provisions Posting

T-Codes: FBD1 (Create recurring), F.14 (Execute recurring), F107 (Provisions) — Purpose: Post expenses that have been incurred but not yet invoiced. Ensures the matching principle under accrual accounting.

- Identify list of accruals from department heads
- Create recurring entries in FBD1 for fixed monthly accruals
- Execute via F.14; post manual accruals via FB50
- Key Accounts: 29000000 — Provisions & Accruals; 60100000 — Accrued Expenses

Step 6: Fixed Asset Depreciation Run

T-Codes: AFAB (Depreciation Run), AFAR (Recalculate), AB08 (Reverse) — Purpose: Post depreciation for all fixed assets for the period.

- Verify all assets have correct useful life and depreciation key
- Run AFAB in Test mode first; review depreciation amounts
- Run in Production mode; post depreciation to cost centers
- Key Accounts: 62000000 — Depreciation Expense; 17000000 — Accumulated Depreciation

Step 7: Cost Allocation in CO (Controlling)

T-Codes: KSV5 (Distribution), KSU5 (Assessment), KB21N (Manual Reposting) — Purpose: Allocate overhead costs from service cost centers to production cost centers.

- Define allocation cycles in OKES
- Run assessment cycle KSU5 to allocate costs using statistical key figure (e.g., headcount)
- Reconcile CO postings with FI

Step 8: Recurring Entries Execution

T-Codes: FBD1, F.14 — Purpose: Post pre-configured recurring journal entries for monthly fixed amounts such as rent, insurance, AMC charges, and prepaid expense amortization.

- Verify recurring entry master (FBD1) for accuracy
- Execute F.14 for the period; review and process batch input session via SM35

Step 9: Balance Sheet Reclassification

T-Codes: F.19, FAGL_FC_VAL — Purpose: Reclassify long-term items maturing within 12 months from non-current to current. Required for proper Balance Sheet presentation.

Step 10: Financial Statement Generation

T-Codes: S_ALR_87012284, S_ALR_87012301, F.01 — Purpose: Generate the Balance Sheet, Profit & Loss Statement, and Trial Balance for the period.

Step 11: Management Reporting (CO-PA)

T-Codes: KE5T (CO-PA Carry Forward), KE30 (CO-PA Report) — Purpose: Generate management reports by product, customer, and business unit using Profitability Analysis (CO-PA).

Step 12: Period Close and Balance Carryforward

T-Codes: F.16, FAGLGVTR, OB52 — Purpose: At year-end, carry forward G/L balances to the new fiscal year. P&L accounts are reset to zero and the net result is transferred to Retained Earnings.

- Run FAGLGVTR (New G/L Balance Carryforward) for the fiscal year
- Verify retained earnings account is updated
- Close all posting periods for the completed year; open periods for new year

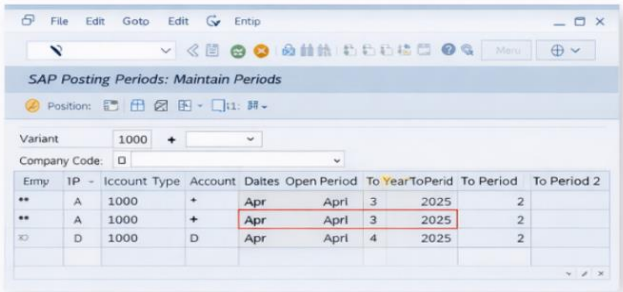

Figure 7: Posting Period Open/Close (OB52)

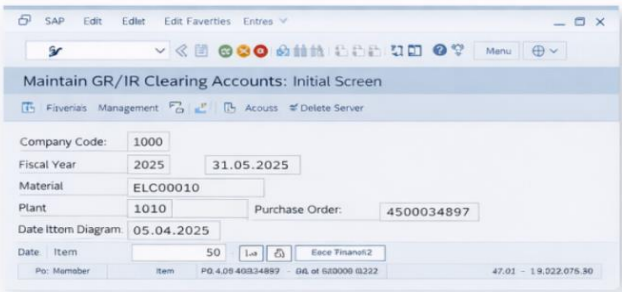

Figure 8: GR/IR Clearing Screen (MR11)

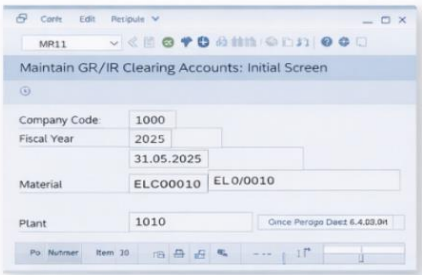

Figure 7: GR/IR Clearing Screen (MR11)

Figure 10: Depreciation Run Screen (AFAB)

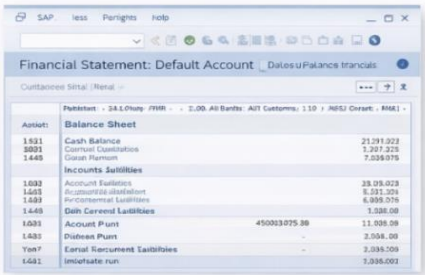

Figure 10: Financial Statement (S_ALR_87012301)

Figure 7: Posting Period Open/Close (OB52) *Figure 9: Depreciation Run Screen (AFAB)* *Figure 11: GL Balance Carry Forward (FAAGLVTR)*

8. SAP Configuration Steps (SPRO / IMG)

8.1 Accessing IMG

All configuration in SAP is done through the Implementation Guide (IMG) accessed via T-Code SPRO. The path for FI configuration is: SPRO > SAP Reference IMG > Financial Accounting (New) > ...

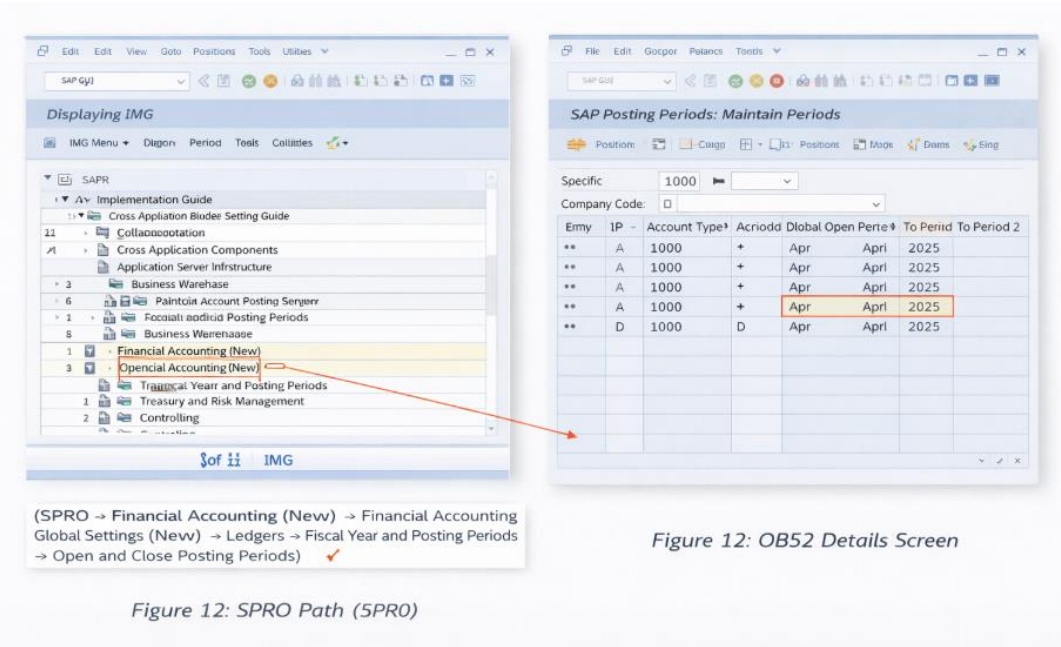

Figure 12: SPRO — IMG Navigation Path for SAP FI Configuration

8.2 Key Configuration Steps

8.2.1 Define Company Code

Path: SPRO > Enterprise Structure > Definition > Financial Accounting > Edit, Copy, Delete, Check Company Code

Settings: Company Code = NTIL | Company Name = KashiTech Industries Pvt. Ltd. | Country = IN | Currency = INR | Language = EN | Chart of Accounts = NTCA

8.2.2 Define Fiscal Year Variant

Path: SPRO > Financial Accounting > Financial Accounting Global Settings > Fiscal Year > Maintain Fiscal Year Variant

Settings: Variant = V3, Year-Dependent = No, Calendar Months = Yes (April to March). Assign V3 to NTIL.

8.2.3 Define Posting Period Variant

Path: SPRO > Financial Accounting > Financial Accounting Global Settings > Document > Posting Periods > Define Variants for Open Posting Periods

Settings: Variant = NTPP. Assign to Company Code NTIL. Use OB52 at runtime to open/close periods.

8.2.4 Define Chart of Accounts

Path: SPRO > Financial Accounting > General Ledger Accounting > GL Accounts > Master Data > Define Chart of Accounts

Settings: Chart of Accounts = NTCA | Description = KashiTech Chart of Accounts | Maintenance Language = EN | Length of GL Account = 8

8.2.5 Define Document Types and Number Ranges

Path: SPRO > Financial Accounting > Financial Accounting Global Settings > Document > Document Header > Define Document Types

Document Type	Description
SA	G/L Account Document (manual journal)
AB	Accounting Document (asset postings)
RE	Vendor Invoice
RV	Customer Invoice
ZP	Outgoing Payment
ZR	Incoming Payment
WA	Goods Issue / GR Document

8.2.6 Configure New General Ledger (New G/L)

Path: SPRO > Financial Accounting (New) > Financial Accounting Global Settings (New) > Ledgers

- Define Ledgers: 0L (Indian GAAP — Leading Ledger), 1L (IFRS — Non-Leading)
- Activate Document Splitting: Enable by profit center and segment for Balance Sheet reporting
- Assign Scenarios: FIN_SEGM (Segment Reporting) and FIN_PCA (Profit Center Accounting) to ledger 0L

8.2.7 Configure Depreciation Areas (FI-AA)

Path: SPRO > Financial Accounting (New) > Asset Accounting > Valuation > Depreciation Areas > Define Depreciation Areas

- Area 01: Book Depreciation (Indian GAAP) — posts to G/L
- Area 15: IFRS Depreciation — parallel valuation in ledger 1L
- Area 20: IT Depreciation (Income Tax Act purposes) — statistical only

8.2.8 Configure Tolerance Groups

Path: SPRO > Financial Accounting > Financial Accounting Global Settings > Document > Tolerance Groups for Employees

- Define maximum posting amounts per user role (e.g., GL Accountant: INR 10 lakhs; Finance Manager: unlimited)
- Assign tolerance groups to user IDs

9. Transaction Codes (T-Codes) Reference Table

The following table lists all key T-Codes used in the KashiTech R2R process implementation:

T-Code	Description / Purpose
FB01	Post General Journal Entry
FB03	Display Document
FB08	Reverse Document
FB50	Post G/L Account Document (Enjoy)
FBL3N	G/L Account Line Item Display
FS10N	G/L Account Balance Display
F-03	Clear G/L Account
F.01	Financial Statement Report (ABAP)
F.16	Carry Forward G/L Balances
F-01	Intercompany Posting
FAGL_FC_VAL	Foreign Currency Valuation
F107	Post Provisions (Accruals)
FAGLGVTR	Balance Carryforward (New G/L)
FBD1	Enter Recurring Entry
F.14	Execute Recurring Entries
F-44	Clear Vendor Account
F-32	Clear Customer Account
FBL1N	Vendor Line Item Display
FBL5N	Customer Line Item Display
FAGLL03	G/L Line Item Display (New G/L)
MR11	GR/IR Account Clearing (MM)
F.19	GR/IR Regrouping
S_ALR_87012284	Financial Statements
S_ALR_87012301	Balance Sheet / P&L
KE5T	CO-PA Carry Forward
OB52	Open/Close Posting Periods
MMPV	Close MM Posting Period
MMRV	Allow Posting to Previous Period (MM)
FS00	G/L Account Master Data

T-Code	Description / Purpose
SM35	Batch Input Monitoring
SPRO	IMG / Customizing

10. Screen Descriptions & Field Guidance

10.1 OB52 — Open and Close Posting Periods

Screen: A table listing all account types (A=Assets, D=Customers, K=Vendors, M=Materials, S=G/L) with posting period ranges.

- Posting Period Variant: NTPP
- Account Type: '+' (all types)
- From Period 1 = 1; To Period 1 = current month; From Period 2 = 13 (special); To Period 2 = 16

Action: Save. This opens periods 1–6 and special periods 13–16 for all account types.

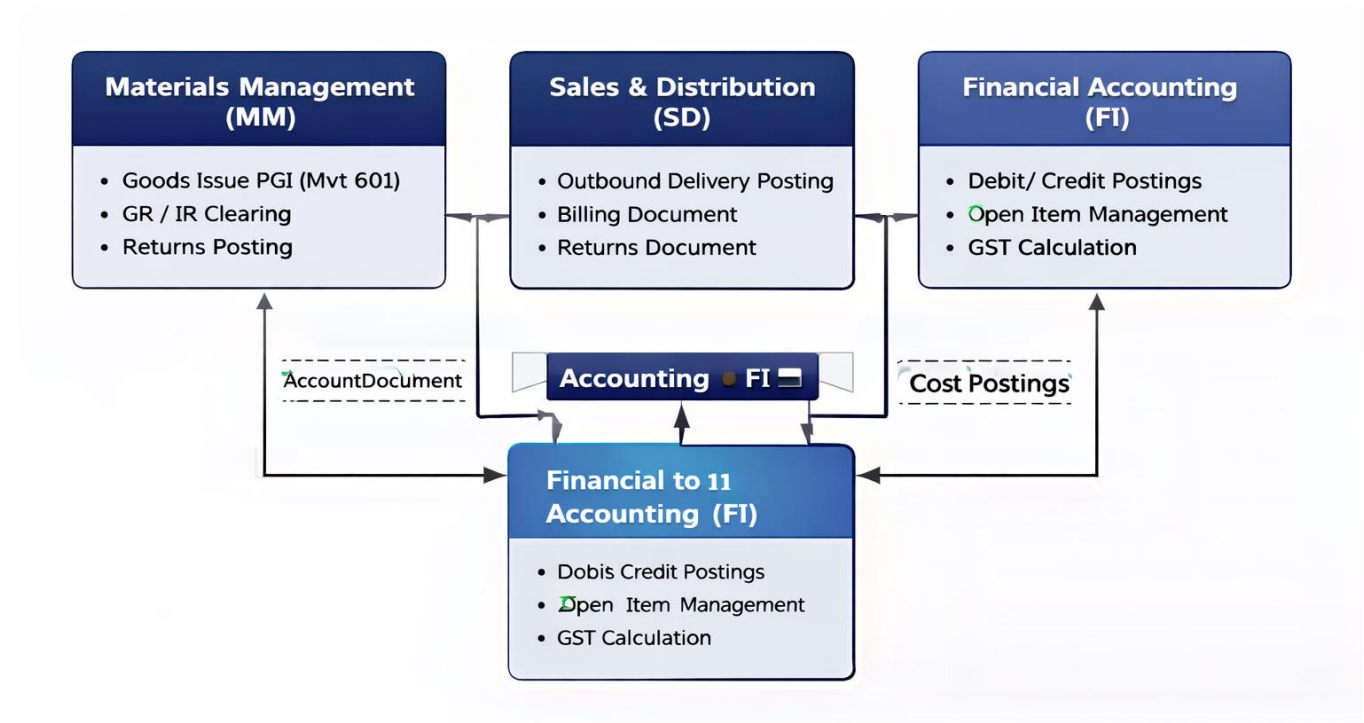

Figure 13: OB52 — Detailed Field View for Opening/Closing Periods

10.2 FB50 — G/L Posting (Enjoy Transaction)

Screen: A single-screen accounting document entry with header and line items.

- Header Fields: Document Date, Posting Date, Document Type (SA), Company Code (NTIL), Currency (INR), Reference
- Line Items: G/L Account, D/C indicator, Amount, Cost Center, Profit Center, Text

Example Entry (Accrual): Dr 60100000 Accrued Electricity INR 5,00,000 (CC1002) / Cr 29000000 Provision for Expenses INR 5,00,000.

Action: Post (Ctrl+S). System assigns document number from number range.

10.3 AFAB — Depreciation Run

Screen: Selection screen with parameters for the depreciation run.

- Company Code = NTIL; Fiscal Year = current year; Posting Period = current period
- Reason for Posting Run = Planned Depreciation
- Test Run checkbox (tick first); List Assets checkbox (tick to see detail)

Workflow: Run in Test mode > Review report > If correct, uncheck Test Run > Execute in background.

Output: Batch job posted; depreciation documents created with document type AF.

10.4 S_ALR_87012301 — Balance Sheet / P&L Report

Screen: Report selection screen.

- Company Code = NTIL; Fiscal Year = current; From Period = 1; To Period = current month
- Financial Statement Version = NTG1; Comparison Year (optional)

Output: Balance Sheet showing Assets, Liabilities, Equity with drill-down to line item level. Export to Excel via spreadsheet icon.

10.5 FAGLGVTR — Balance Carryforward (Year-End)

Screen: Carryforward selection screen.

- Company Code = NTIL; From Fiscal Year = current year (e.g., 2025); Ledger = 0L (repeat for 1L)
- Test Run = tick first

Process: System closes all P&L accounts and transfers net balance to Retained Earnings (30100000). Can be run multiple times — only last run matters.

Important: Run after ALL other year-end entries are complete.

11. Integration with Other SAP Modules

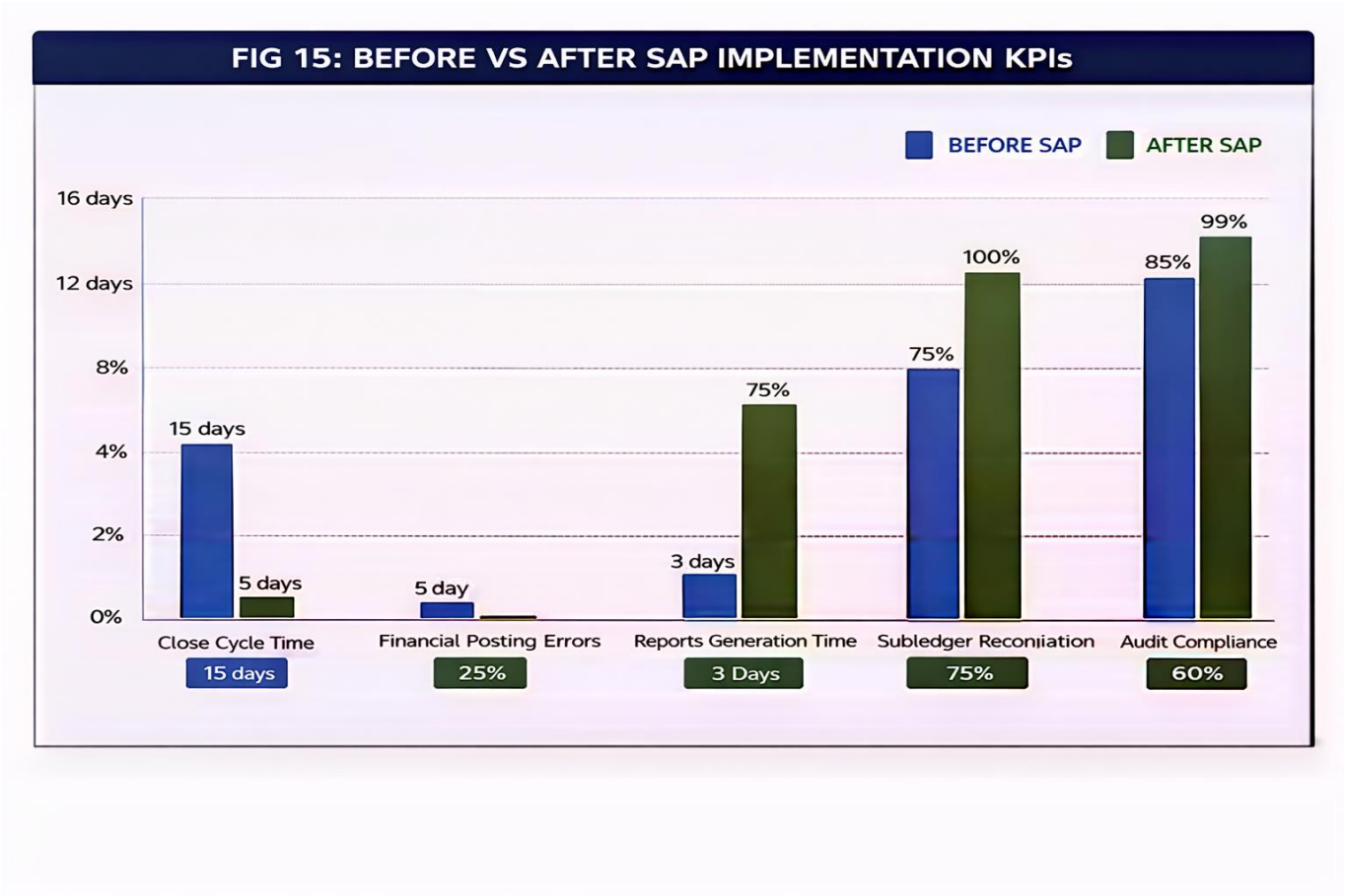

Figure 14: KashiTech — SAP Module Integration Flow for R2R (FI-MM-SD-CO-PP)

11.1 FI — MM Integration

The integration between SAP MM and FI is one of the most critical touchpoints in the R2R process. Every goods movement in MM creates automatic FI documents through account determination.

- Goods Receipt (MIGO): Dr Inventory (BSX) / Cr GR/IR Clearing (WRX) — auto-posted
- Invoice Receipt (MIRO): Dr GR/IR Clearing (WRX) / Cr Vendor (KBS) — auto-posted
- GR/IR Management: Imbalance between GR and IR creates open items — cleared during R2R via MR11
- Account Determination: Configured in OBYC — Transaction Key BSX (Inventory), WRX (GR/IR), PRD (Price Difference)
- Material Ledger (ML): If activated, provides actual costing and variance analysis

11.2 FI — SD Integration

When sales orders are fulfilled and customer invoices raised in SD (VF01), accounting documents are automatically created in FI:

- Billing Document (VF01): Dr Customer Account / Cr Revenue Account (41000000) / Cr GST Output
- Account Determination: Revenue account determination via condition technique in SD
- Credit Management: Customer credit limit in FI (FD32) is checked in real-time against open SD orders
- Customer Ageing: AR subledger (FBL5N) drives dunning and collection

11.3 FI — CO Integration

With SAP S/4HANA's Universal Journal, FI and CO are tightly integrated:

- Every FI posting with a cost-relevant account automatically creates a CO document in the same journal
- Cost Centers are assigned to all expense GL accounts through field status groups
- CO Assessment/Distribution during R2R reallocates overhead to production cost centers
- Reconciliation Ledger is obsolete in S/4HANA — FI and CO always in sync via ACDOCA

11.4 FI — PP Integration

Production Planning integration with FI occurs primarily through product costing:

- Production Order Confirmation: Material consumption posts Dr WIP / Cr Inventory in FI
- Standard Cost Estimate (CK11N): Links product cost to BOM and routing — standard price updated in material master
- Settlement (CO88): At period end, production order variances settled from WIP to Price Difference accounts
- WIP balances must be correctly reported on the Balance Sheet

12. Implementation Challenges & Solutions

#	Challenge	Real-World Impact	SAP Solution
1	Data Migration Quality	Legacy chart of accounts had 4,200 accounts; many duplicates and unmapped accounts causing migration errors	SAP LSMW / LTMC used with validation rules; account mapping document; test migration run 3 times before go-live
2	Parallel Accounting (Ind AS vs IFRS)	KashiTech must report under both Indian GAAP and IFRS; different depreciation methods create valuation differences	New G/L with two ledgers (0L = Ind AS, 1L = IFRS); separate depreciation areas in FI-AA; ledger-specific postings via FB01L
3	User Adoption & Training	Finance team of 45 people accustomed to Excel-based closing; resistance to SAP workflow	Role-based SAP Fiori apps; 6-week end-user training program; super-user network established in each plant
4	Complex GR/IR Balances	Legacy system had 2-year-old uncleared GR/IR items worth INR 18 crore causing Balance Sheet misstatement	Pre-go-live GR/IR cleanup project; MR11 used to clear old items; policy enforced for monthly GR/IR clearing
5	Intercompany Mismatch	IC transactions had INR 4.2 crore unexplained difference across Pune, Bengaluru, and Chennai entities	SAP IC reconciliation tool; trading partner mandatory in all IC postings; automated IC elimination configured
6	Performance of Reports	Financial reports with 8 company codes were timing out (>30 min runtime)	SAP HANA in-memory database; index-based reporting from ACDOCA; CDS Views for real-time reporting
7	Tax Compliance (GST/TDS)	India-specific GST and TDS requirements not fully supported in standard SAP without localization	SAP India Localization (DL) activated; GST condition types in SD/MM; TDS framework configured in FI-AP
8	Period-End Bottlenecks	Multiple teams competing for the same close windows causing sequencing conflicts	Detailed close calendar with owner and deadline for each task; workflow triggers notify next team when predecessor step completes

13. Conclusion

13.1 Benefits of SAP R2R Implementation at KashiTech

The implementation of SAP S/4HANA Finance for the Record-to-Report process at KashiTech Industries Pvt. Ltd. has delivered transformational improvements across the finance function. The following quantifiable benefits have been achieved:

KPI	Before SAP	After SAP
Month-End Close Duration	12–15 Business Days	4–5 Business Days
Financial Report Availability	7 days after period end	Same day (real-time)
Manual Journal Entries per Month	~380 entries	~65 entries (83% reduction)
Audit Queries (Annual)	240+ queries	<40 queries
GR/IR Uncleared Balance	INR 18 Crore	INR <50 Lakhs
Intercompany Differences	INR 4.2 Crore	INR <5 Lakhs
Finance Headcount for Close	22 FTEs	14 FTEs (36% reduction)
Restatement Incidents (Quarterly)	6–8 restatements	0 restatements

[IMAGE: fig15_kpi_before_after_chart.png]

Figure 15: KPI Comparison — Before vs After SAP R2R Implementation (Bar Chart)

13.2 Learning Outcomes

Through this SAP capstone project, the following learning outcomes have been achieved:

- Understanding of the end-to-end Record-to-Report business process in a manufacturing company context
- Hands-on knowledge of SAP FI module configuration including Company Code, Chart of Accounts, Fiscal Year, and Posting Periods
- Practical understanding of SAP G/L, AP, AR, and AA sub-modules and their role in financial close
- Exposure to SAP New G/L features including parallel ledgers, document splitting, and segment reporting
- Knowledge of key R2R T-codes and their business purpose in real-world implementations
- Understanding of SAP module integration points — FI-MM, FI-SD, FI-CO, FI-AA
- Ability to identify and solve common implementation challenges in SAP R2R projects
- Appreciation for the importance of master data quality in SAP implementations

13.3 Future Scope

- SAP Analytics Cloud (SAC): Integration for predictive analytics and AI-based financial planning
- SAP Cash Management: Extension of R2R to include treasury and liquidity management
- SAP Group Reporting: For consolidated financial statements of KashiTech's parent entity
- Robotic Process Automation (RPA): Bot-based execution of repetitive close tasks using SAP Intelligent RPA
- Continuous Accounting: Move towards daily mini-close eliminating month-end rush

14. References

14.1 SAP Official Documentation

- SAP Help Portal — SAP S/4HANA Finance documentation. help.sap.com/docs/SAP_S4HANA_ON-PREM
- SAP Note 2270544 — New G/L: Parallel Accounting and Ledger-Group-Specific Open Item Management
- SAP Note 1951069 — Financial Closing Cockpit for SAP S/4HANA
- SAP Best Practices — Record-to-Report Business Scenario J58. SAP Best Practices Explorer
- SAP Learning Hub — SAP FI Configuration Guide, Module S4F20 (Financial Closing with SAP S/4HANA)

14.2 Books and Academic References

- Narayanan, V.G. & Brem, L. (2020). SAP Financial Accounting: Business User Guide. Rheinwerk Publishing (SAP Press)
- Krolczyk, J. & Hunting, J. (2019). Financial Accounting with SAP S/4HANA. SAP Press, Bonn
- Sudalaimuthu, S. & Anthony Raj, S. (2018). Logistics Management for International Business. PHI Learning Pvt. Ltd.
- ICAI (2024). Guidance Note on Accounting for GST and Related Issues. Institute of Chartered Accountants of India

14.3 Online Resources

- SAP Community Network (SCN): community.sap.com — R2R Process Discussions
- SAP Road Map Explorer: roadmaps.sap.com — Future developments in SAP Finance
- ASAP Methodology Guide: SAP Standard Implementation Methodology for FI
- ERProof.com: Practical SAP configuration tutorials for FI/CO

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